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Coming out right, always, is too high a bar

In most situations, policymakers in India are excessively risk-averse. The phrase ‘policy adventurism’ is a lethal one, which can kill off any proposal. Policymakers would like to cultivate an image of being all-knowing, of occasionally championing an idea, and of coming out right every time. The incentives of officials tend to be asymmetric: success is not particularly important, but failure can be career threatening.

There is a particularly harmful combination of low capabilities and low risk taking. When policymakers have poor knowledge, they are less confident. This creates a bias in favour of inaction. The fear of failure feeds into this bias for inaction, or for action in the form of campaigns on Twitter. To solve public policy problems, and build the republic, requires taking actions that involve risk.

Real-world policymaking is extremely complicated. If we are very risk-averse, and move only when we are absolutely sure, this will generate excessive conservatism.

This was a problem in the past, and this will be a greater issue in the future. In the past, Indian policy reform consisted of low-risk projects like dismantling industrial licensing and dismantling barriers to globalization. The analytical clarity on those issues was strong and there was little that could go wrong. But as these first-order ideas are used up, future policy work will not be as unambiguous.

What is normal in the field of public policy is ‘complex systems failure’—where there are many moving parts and they came together in an unexpected way. Failure will happen, and when failure occurs, there is no